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**Tail Risk:
What can we
learn from
the London
Whale**
by
Joseph
LoPorto

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Tail risk is a term that has a unique significance for the insurance industry. While the term has specific meaning in the context of managing an insurance company's liabilities and underwriting practices, the same considerations apply to the asset side of an insurance company's balance sheet and the mathematical processes to evaluate risk are virtually the same in both cases (though the jargon may differ). Indeed, both ratings

agencies and regulators used a form of tail risk management for calculating capital adequacy. The regulatory focus in the US and abroad is shifting towards enterprise risk management, more conservative risk based capital modeling and more complex risk management failures across the financial services industry provide insight into the successes and shortcomings of various tools and oversight processes that firms

employ to manage tail risk. Global financial institutions are very different from most insurers from a risk management standpoint, but there are a few key lessons to be learned which we hope to highlight here.

Earlier this year, I had the pleasure of lecturing with several colleagues at a half day seminar in New York on

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by
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The Macro View

□ Markets: The risk rally to date has been driven by a reduction in perceived policy, economic, and financial risks. Going forward, fundamentals and cyclical growth will be the keys to the sustainability of returns.

□ Economics: Both domestic and global growth will remain somewhat below trend but should improve throughout the year. In the U.S., a better composition of growth will increase the chances for a self-sustaining recovery. Europe should see the beginning of a bottoming process in its recession. China appears to have slowed yet avoided a hard landing. Downside risks remain, but they are less severe than in 2012.

□ Interest Rates: Range-bound markets will persist with 10-year Treasuries trading in a broad range of 1.50-2.50%. We expect rates to transition to a modestly higher range as the year progresses, spending more of their time in the 2.00-2.50% range. The macroeconomic mechanisms required for a significant rise in rates, however, are not in place.

Tail Risks Give Way to Growth Concerns

This year's rally in risk assets has been driven primarily by a reduction in perceived sources of tail risk. Despite polarization and gridlock in Washington, policy risk in the U.S. subsided following the fiscal cliff compromise and the passing of the sequestration. Less uncertainty is always a positive for risk assets. Economic risk subsided in the U.S. as the full impact of

the fiscal cliff was avoided. In China, the risk of a hard landing has largely evaporated. While domestic and global growth are expected to remain below trend over the nearterm, downside economic tail risks have moderated. Finally, financial risks were curtailed as the ECB reiterated its commitment to do "whatever it takes" in order to preserve the Euro. As the quarter drew to an end, the ECB's mettle was being tested by events in Cyprus, a story for the second quarter.

Continued moderation in perceived risk is necessary—though not sufficient—to sustain the rally in risk assets. A sustained risk rally will also require more of a growth story. We will need to see evidence of a bottoming in global



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growth and a return to more trend-like levels. In the U.S., we will need at least some validation that the U.S. recovery is indeed entering a sustained and self-reinforcing stage where private demand serves as the primary driver of economic growth as opposed to policy-induced measures. In addition, an ongoing risk rally will require that global central banks remain highly accommodative as any near-term actual or perceived withdrawal of liquidity would result in a painful repricing of risk.

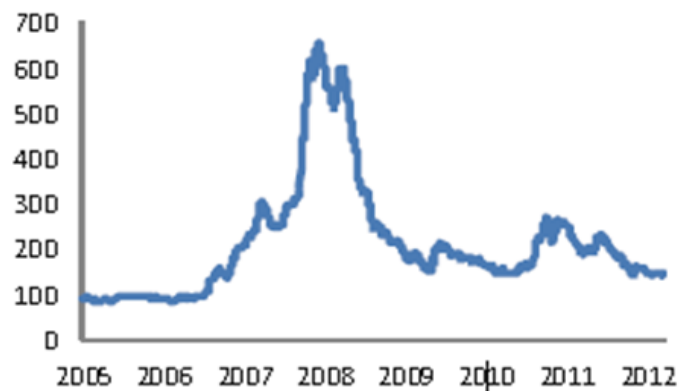
Economic activity is expected to reflect another year of "stall speed" growth (below trend growth centered on roughly 2.0%). However, the composition of growth should improve in 2013, leading to better growth "at the margin." First, the back-drop for the consumer has improved. Job and income growth have accelerated, balance sheets are healthier given the recovery in home prices and equity values, and progress on deleveraging continues to be aided by a low-rate environment. These improvements account for the resiliency of the consumer in the face of the recent payroll tax increase and the surge in gasoline prices. Second, the corporate sector seems to have shrugged off fiscal uncertainties as new business investment and expectations for further investment continue to surprise to the upside. Third, the housing sector, although depressed relative to its pre-crisis peak, continues to recover whether measured by home price appreciation, sales, or new construction. Third, state and local governments have been rather adept at managing their finances through the crisis. Now,

given the sustained rise in revenue over the last five quarters, they are in a position to actually boost spending through delayed project financing. Finally, gains in employment continue. Job growth is trending higher from the 100,000- 150,000 monthly gains seen in 2012 to more recent gains in the 150,000-200,000 range.

Given our economic outlook of ongoing slow growth with risks to the downside, we expect 10-year Treasuries to continue trading in a broad range of 1.50- 2.50%. Ten-year Treasury yields will have difficulty rising above 2.50% in an

ing range in 2013. In the second half of 2012, the 10-year Treasury traded at levels roughly between 1.50-2.00%. We expect this range to increase to 1.75-2.25% near term and 2.00-2.50% over the course of the year. Therefore, across our broad-market portfolios, we expect to remain neutral to short in our duration bias. Reflecting our interest-rate beliefs, we are more likely to be defensive at the lower end of near-term ranges as opposed to aggressive at the upper end. We note that the primary concern of our clients is the timing of a significant and sustained rise in interest rates. We do

Investment Grade Spreads – Reaching Cyclical Lows



Source: Bloomberg

environment of subdued economic growth yet yields are unlikely to fall below 1.50% unless the U.S. re-enters a recession, inflation expectations decline significantly, or the situation in Europe deteriorates. Given our base case for better growth "at the margin," however, we do expect a transition to a higher trad-

not feel that the macroeconomic mechanisms for such a rise are in place for 2013.

FIXED INCOME: Measured Optimism

As discussed in previous commentaries, we live in a structural world defined by four sides: the process of delev-

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eraging; below-trend economic growth; accommodative monetary policies; and moderate inflation with an upside bias.

In this world, the gravitational pull of an official low interest-rate policy depresses longer-term rates, perpetuating a world of “financial repression” accompanied by an insatiable demand for yield and the potential for growing imbalances in the risk markets. Fixed income valuations have become more challenging; many securities are overvalued rather than fairly valued, particularly in the credit sectors. Low Treasury yields and overvalued fixed forcing investors to assume greater risks—risks that are unsupported by fundamentals. As investors take on similar and more concentrated risk positions, fixed income markets have become more vulnerable to downside risks and unforeseen events. We are positioning our portfolios to avoid the downside of such disruptions. Our fixed-income strategies will focus on yield and carry, as opposed to spread and compression, as well as selective intra-sector allocations and yield curve positioning. In an investment environment sensitive to volatility and disruption, our approach seeks to add yield while managing downside risks. In our view, greater returns over time are generated by actively managing risk as opposed to aggressively taking risk.

Credit – With downside macro risks lessened and the credit metrics of the nonfinancial sectors still supportive (for now), credit spreads investment-grade and high-yield) should continue to trade in a fairly narrow range in the near-

term. In such a range-bound environment, price appreciation will be difficult to realize. Therefore, our focus will be on yield curve positioning, yield carry, and closely monitoring the downside risks of potential leveraged transactions. Portfolios will remain overweight credit, focused on short-to-intermediate maturities, and overweight the financial sector where the risk of a leveraged transaction is minimal.

Mortgages - We initiated underweight positions to the MBS sector in the wake of the dramatic tightening of spreads in the fourth quarter of 2012. During the first quarter of this year, we opportunistically reduced exposure further, selling into periods of strength and reinvesting proceeds into comparable-duration corporates. As the year progresses, we are more likely to add positions as higher rates and wider spreads improve MBS valuations.

Municipals - A number of factors will continue to support the overall municipal market in the near-term: (1)

the ongoing search for yield and income in a world where few alternatives can be found; (2) the lack of a systemic credit crisis in the municipal market; (3) the lack of net general-market supply as new financings are concentrated in replacing older, higher-coupon bonds with new lower-yielding refundings; and (4) the continued severe shortage of supply in the yieldier sectors (i.e., tobacco, airports, and hospitals).

EQUITIES: An Income Orientation

We continue to believe that equities remain an attractive asset class, particularly equities with an income orientation. We favor the U.S. market, where the economy is growing faster than other parts of the world and the Fed shows no signs of stepping back from its aggressive monetary policies. Equities fare well when inflation expectations are rising but actual inflation is not. We believe we are in the process, as we con-

tinue to deleverage, of returning to a more normal investment climate where money flows return to equities, interest rates rise to more historic levels, and stock buybacks and M&A activity support the positive supply and demand balances of equities. Equities have performed strongly in the first three months of this year, but in the U.S., valuations are still below historic averages and are attractive when compared to credit. However, for a sustained move, we need positive resolution—or at least guidance—in other areas of the world. We need to see if Japan’s massive monetary effort will succeed, not just with rising share prices, but with renewed economic activity. We need to believe China’s economic growth has stabilized around the 7–8% level. Finally, we need to see evidence of a bottoming process in the recession gripping Europe.

High Yield - Low Correlation to More Rate Sensitive Sectors

	US Treasury	Domestic Master	S&P 500
US Treasury Index	-	-	-
Domestic Master Aggregate Index	0.72	-	-
S&P 500 Index	-0.35	0.03	-
US Corporate High Yield Index	-0.38	0.19	0.73
US Corporate BB Index	-0.35	0.28	0.68
US Corporate B Index	-0.45	0.09	0.64
Credit Suisse Leveraged Loan Index	-0.62	-0.09	0.63

Source: Merrill Lynch, Bloomberg. 5 years of data through 12/31/2012.

Mr. Wayne Schuh has been involved in the corporate-owned life insurance practice since 1979. He founded St. George Capital (SGC), located in Narberth, Pennsylvania, in 2004 with co-owner Rick Kimbrough. SGC's focus has been the bank-owned and insurance company-owned life insurance (ICOLI) private placement market. Prior, Mr. Schuh was a managing director and co-owner of MCGNW (Management Compensation Group) located in Portland, Oregon. He holds a Series 6,7,24,26,53,63 and 79 securities licenses. The practice focus was non-qualified executive benefit plans for Fortune 1000 companies.

Insurers seeking higher yields by accepting increasing levels of rate risk and credit risk over the past five years may find a thoughtful approach to illiquidity risk can produce much higher risk-adjusted returns.

“Been Down So Long It Looks Like Up to Me”

There would appear to be no relief in sight for insurance carriers. Many insurance investment officers, investment advisors and fixed income portfolio managers are beginning to identify with the song sung by the great bluesman Furry Lewis in 1928, the title of this article. The Federal Reserve has stated it plans to hold interest rates at current low levels until at least mid-2015. In the short-term, the low interest environment has created significant unrealized gains in older insurer bond portfolios. While this has a positive impact on surplus, it has little impact from an earnings perspective. Some insurers have opportunistically realized some of these gains, but at the expense of lower yields in the future.

The dim investment income prospects will challenge insurers to change the way that capital is deployed. This article will explore ways in which insurers can respond to the challenging and volatile investment outlook.

Transformations In Banking Practices Produce Income Opportunities For Insurers

Insurers seeking higher yields by accepting increasing levels of rate risk and credit risk over the past five years may find a thoughtful approach to illiquidity risk can produce much higher risk-adjusted returns.

Market volatility, regulatory changes and increases in capital requirements have driven banks, world-wide, to deleverage their balance sheets. This process has involved wholesale

exits from certain businesses, asset sales, and transferring certain risks. The implosion of bank financing appetite in real estate and infrastructure projects has provided insurers opportunities for higher yields and superior risk-adjusted returns in these non-traditional credit-related assets.

This illiquidity risk premium will be fueled by the potentially improved regulatory treatment of illiquid assets when held against certain specific liabilities of insurers. Other opportunistic credit assets such as high-yielding bank loans and collateralized loan obligations (CLOs) should also be evaluated by thoughtful investment officers and their advisors seeking predictable cash flows.

David Lomas, head of BlackRock Global Financial Institutions Group, predicts that insurers will begin to increase their exposure to the illiquidity risk premium by setting “illiquidity risk budgets”. This will in part be a response to a larger regulatory initiative that will require a more risk-based approach. This approach will recognize that a constant investment strategy should consume very different amounts of regulatory capital at different points in the market cycle. The National Association of Insurance Commissioners (NAIC) adopted in late 2012 the Risk Management and Own Risk and Solvency Assessment (ORSA) Model Act for larger insurers, with an effective date of January 1, 2015.

Although ORSA applies to larger insurers, several states lead by the New York State Department of Financial Services have already moved to enact regulations to require Enterprise Risk Management (ERM) practices for all insurance companies. There has also been a clear movement toward risk-based exams conducted by state regulators.

Sovereign Risk and Uncertainty in Developed Markets Create Attractive Investment Opportunities in Emerging Markets

Liquidity is priced in a majority of international equity markets. The illiquidity premium is 1.04% per month after adjusting for common risk factors- market, size and value factors. The illiquidity premium is about twice higher in emerging markets than it is in developed markets.

Banks need to be invested in “high quality” liquid assets issued by Central Banks with their implicit government guarantees. Consequently, inventory levels for investment grade credit remain low and fragmented. Corporate bond inventories are down 77% from their peak in October, 2007. Central bank policies of low interest rates to support the banking industry have also created unprecedented demand and low inventory levels of high yield bonds.

In response to these tight market conditions, there has been strong demand from US

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insurers for emerging market debt. Insurers remain underinvested in this asset class and will find both higher yields and beneficial geographic diversification in emerging market debt—both sovereign and corporate bonds.

In addition to emerging market debt, international equity markets are projected to produce superior risk-adjusted returns. Once again, as in opportunistic credit markets, several recent studies have empirically demonstrated a significant excess return resulting from an illiquidity premium.

Liquidity is valuable to market participants and they are demanding higher expected return for less liquid stocks. Consequently, stock illiquidity is positively priced worldwide with average returns significantly higher. By comparison, idiosyncratic risk is negatively priced. The magnitudes of the illiquidity premiums are statistically and economically meaningful. The mean of the illiquidity premium return per month is 1.04%, being 1.51% and 0.71% for emerging and developed markets, respectively.

Certain measurable factors impact the illiquidity premium—better information disclosure and better rule of law reduce the illiquidity premium, while greater opacity raises the premium. Also, higher income countries tend to have lower illiquidity premiums.

David Swenson, Yale Chief Investment Officer has stated: “Investors prize liquidity... unfortunately liquidity

tends to evaporate when most needed. Investors should pursue success, not liquidity. In public markets, as once illiquid stocks produce strong results, liquidity increases. In contrast, if public liquid investments fail, illiquidity follows as interest dries up. Portfolio managers should fear failure not illiquidity.”

Identifying Attractive Alternative Investments for Insurers

Absolute return investing consists of inefficiency-exploiting marketable securities positions exhibiting little or no correlation to traditional stock and bond investments. Absolute return positions provide equity-like returns with powerful diversifying characteristics.

Diminished investment income inhibits producing a satisfactory return on equity and maintaining competitive product rates. While insurers are struggling to maintain or grow investment income, outside sources of non-traditional capital are boosting investments in the insurance business. Hedge funds are launching new reinsurance firms. Catastrophic bonds are expanding securitization of risk with insurance-linked instruments. These sources of capital can allow insurers to offload some of their more extreme underwriting risks.

Insurers in their search for higher yields are analyzing various alternative asset classes such as real estate, private equity, hedge funds, commodities and oil and gas

assets. These alternatives all provide negative correlations to traditional investments, provide important asset diversification, and often deliver the illiquidity premium previously discussed.

Smaller insurers, working with their investment advisors, can identify and outsource alternative investment management to third-party alternative asset managers. Investment advisors working with their insurer clients can develop more sophisticated portfolio and risk management strategies that seek an acceptable balance between maximizing total returns versus assuming additional risk and capital requirements.

Tactical Responses to Increasing Asset Allocations to Alternative Non-Traditional Assets

Non-traditional and less liquid credits may be designated as hold-to-maturity, while other alternative asset classes should be placed in tax-efficient private placement structures prevalent in today's marketplace.

Insurers are reevaluating their core asset strategies for the day when rates begin their inevitable rise. But with real returns on core fixed income portfolios near negative territory, how are insurers responding to the effects of historically low rates?

We have discussed the strategic and tactical movement to nontraditional credits. Many of these less liquid credits

could be designated as hold-to-maturity to mitigate the income statement volatility of potential mark-to-market accounting treatment.

Allocations to non-credit alternatives—emerging markets, real estate, hedge funds, commodities and master limited partnerships (MLPs) while providing the potential for higher risk-adjusted returns, will generate higher tax expenses—both realized and deferred. Insurers, working with their advisors, should seek to optimize alternative asset returns on an *after-tax* basis, by utilizing private placement tax-preference insurance structures widely prevalent in the insurance industry. Currently, more than 120 insurance companies have allocated more than \$15 billion to these placements. All the alternative asset classes are available in the private placement and are managed by best-of-class institutional managers selected by the insurer and his advisors. The background and discussion of the private placement insurance structure was discussed extensively in Vol. 4 Issue 3 of the CapVisor Associates, LLC Quarterly Newsletter. The chart below illustrates that the amount of absolute tax drag generated to the right of the dotted line is eliminated by the insurance placement, thereby significantly increasing absolute returns on alternative asset allocations.

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this topic. Risk management from a mathematical standpoint can be massively complicated and four or five hours of lecture time is hardly enough to adequately cover even a summary of the topic. Moreover, the audience for that type of lecture would have to be somewhat specialized. For the rest of the free world, there are probably several forms of torture that most would choose to endure for four hours over attending such a lecture. I get it. It can be dry. There are Greek letters and symbols involved. An overhead display filled with those formulas is never a good sign when one enters a lecture hall at a conference (fortunately, the coffee is always flowing at conferences).

As the regulatory world around the insurance industry evolves, however, the reporting and oversight complexity increases. The management response to that environment tends to produce more of a need for granular and sophisticated internal oversight and risk management processes. The volume and sophistication of the data that now needs to percolate up to senior management

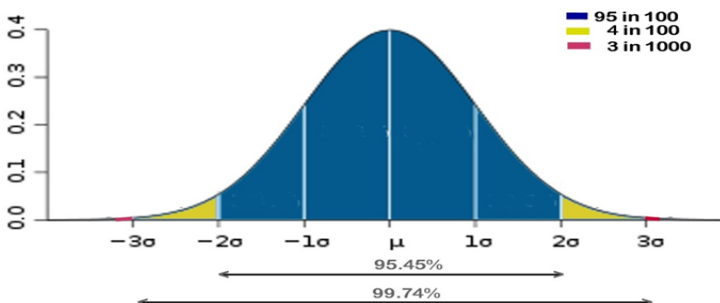
and boards can strain otherwise effective governance systems. I did want to dwell for a moment on the actual concepts around investment related tail risk, but the area of broadest interest on this topic might more relate to governance issues and our observations from recent noteworthy risk management failures.

What is Tail Risk: No Greeks

To make this work in plain English, let's start with something more familiar. The current batting leader in Major League Baseball might have an On Base Percentage of 0.500 which means he gets on base through a hit or a walk 50% of the time. If that batter were to step up to the plate, we might conclude that he has a 50% chance prospectively of getting on base if we just use history as a predictive measure. Although history is rarely a perfect predictor of the future, just using empirical data to calculate an average is not a complete picture since it tells us little about how reliable that estimate is. To improve on our estimate, we

would need to collect some measure of dispersion around the average. That hitter might have an On Base Percentage of .500 but in any given game, that estimate might have a standard deviation of .200. With that dispersion information in hand, we can construct parameters to clarify the predictability of our estimate. Assuming the history we have collected is 'normally' distributed (not skewed by a series of games where he never gets on base or always gets on base), we can be 95% certain, his On Base Percentage in any given game will be between 0.100 and 0.900. At that confidence interval (95% confidence), he'll get on base somewhere between 10% and 90% of the time in any given game. We conduct a similar exercise in estimating both loss reserves and expected returns on financial assets though each get their own set of jargon. Tail risk is therefore the size of the

...Tail risk is therefore the size of the loss that would occur at a given confidence level. It's the worst case scenario in the predicted range around an average or mean.



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loss that would occur at a given confidence level. It's the worst case scenario in the predicted range around an average or mean. In the context of the liability side of the balance sheet, we call it the 'Maximum Probable Loss' or MPL for short. In the context of the asset of the balance sheet, we call it the 'Value at Risk' or VAR. In both cases, the math is essentially the same as are the limitations.

This information is useful for a variety of purposes. Capital adequacy testing conducted by ratings agencies and regulators involve several related processes. But generally, these basic estimates are used by management to quantify the true risk of those enterprises. The trend towards a more broad adoption of Enterprise Risk Management is healthy and should lead towards a more stable industry. There are, however, some significant limitations imbedded in these calculations. Regardless of the use, understanding the limitations is critical for both management and regulators.

Historical Performance is No Guarantee of Future Results

It's the most fundamental and widely used caveat in the financial services industry. But from a risk management standpoint, there are really only two ways to build financial models: we can use pure historical or empirical data or we can disregard history and simulate results. There are pro's and con's to both. Using pure history has the advantage of being non-arbitrary and objective. An analyst or advisor can simply

collect historical returns on investment grade bonds and calculate averages and the dispersions of those data points. The limitation is that those observations tend to miss broader secular trends and regime changes (the 30 Year Bull Market in Bonds as we have discussed previously-see article with the following link :

http://www.capvisorassociates.com/uploads/CapVisor_Newsletter_Fall2012.pdf

The performance of investment grade bonds over the coming years will likely be very different than history suggests. The alternative then is to simulate results based on other observed related factors (the economy, monetary policy, interest rates, etc. and the likely paths of those variables). Simulations would theoretically be better at capturing changing regimes but run the risk of an analyst, advisor or staff introducing bias into the process. There is no perfect answer but understanding the limitations of these models is critical.

Getting a Whale Into a Fish Bowl

A drama has played out in the financial press and media over the last year regarding the breakdown of JPMorgan's Office of the Chief Investment Officer (the firm's risk management department). Heading into May of 2013, the Firm is still wrestling with the aftermath with most of the current discussion centered on improving governance at the firm with many observers suggesting the firm will split apart the Chairman and CEO and functions at

some point in the near future (currently, Jaime Dimon serves as both Chairman and CEO). These are, in our view, the important discussions to have. In truth, JPMorgan was employing an incredibly sophisticated process to manage the firm's risk. While the specific details of the events that led to JPMorgan experiencing significant losses involve esoteric financial instruments (a synthetic credit portfolio constructed from credit default swaps), the findings of both experts outside the firm and the firm's own internal review seem to point to governance and management issues as opposed to the riskiness of the instruments they were trading.

Earlier this year, JPMorgan published a report of the Board's investigation. Here are some high level observations from that report: 1) CIO Management established competing and inconsistent priorities without understanding how those priorities would be simultaneously addressed. 2) The trading strategies used were poorly conceived and not fully understood by management. 3) CIO Management failed to obtain detailed reporting on the activity. 4) CIO personnel failed to escalate (including to Senior Firm Management and Board) concerns that were raised at various points. 5) Certain traders did not show the full extent of the losses. 6) CIO provided excessively optimistic estimates of the performance impact of the strategy. The massive level of com-

plexity in managing risk for a firm as large as JPMorgan created many challenges, but the most obvious challenge was compressing information into a form that would allow management to understand its activities and by extension delegating too much oversight to lower levels in the firm. These are challenges that any organization can face. Measuring and managing risk are important for a variety of reasons both for regulatory compliance and for the general goal of running a successful stable business. Building financial and quantitative models is a useful tool for evaluating and understanding risk, but even the most robust models and controls have to be well understood and clear to management.

The specifics of risk management models are far too complicated and idiosyncratic to delve into in great detail here. A holistic discussion of your firm's risk management process, particularly as it relates to investment risk would be a great agenda item for a future board meeting... and one that we would be pleased to help facilitate.

Full report is available at:

http://files.shareholder.com/downloads/ONE/1686795043x0x628656/4cb574a0-0bf5-4728-9582-625e4519b5ab/Task_Force_Report.pdf

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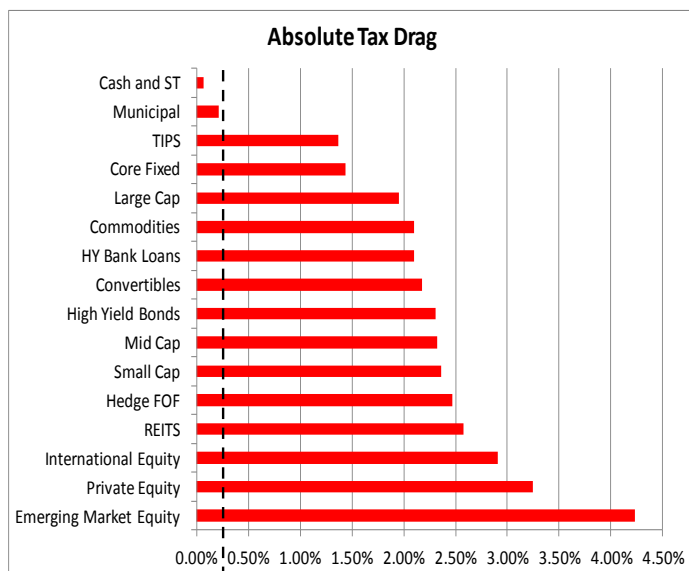
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We are on the web at
www.capvisorassociates.com



Chart below is an attachment for the article entitled "**Been Down So Long It Looks Like Up to Me**" on pages 4 and 5



Bloomberg as of November 2012.
The Illiquidity Premium: International Evidence, Amihud, Hameed, Kang and Zhang, December 29, 2012, SSRN;
Understanding Commonality in Liquidity Around the World, Karolyi, Lee and VanDijk, Journal of Financial Economics, 2011.
See chart on back page.

Upcoming Events



The PIAA Medical Liability Conference is at the JW Marriott Desert Springs in Palm Desert, CA May 15-17 Carl

Terzer will be exhibiting at this conference so please stop by booth #408 and say hello!

The **USA Risk Conference** will be May 21-23 in Charlotte, NC at the Ballantyne Resort. Mr. Terzer will be a moderator at this event.

The **NYIA 2013 Annual Conference** is May 29-31 at the High Peaks Resort in Lake Placid, NY. Mr. Terzer and Mr. LoPorto will be exhibiting at this event.

The **Bermuda Cap-tive Conference** will be held at The Fairmont Southampton on June 10-12. Mr. Terzer is a registered attendee.

The **VCIA Conference** will be in Burlington VT, on August 13-15 at the Sheraton Hotel & Conference Center. CapVisor will be exhibiting at booth #49. We hope to see you there!



**Carl E. Terzer
Principal**

Editor in Chief

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